

The first wave of backtracks

It wasn't supposed to go this way. Klarna, one of Europe's most prominent fintech firms, made headlines last year for laying off chunks of its customer support staff in favour of AI tools, citing dramatic efficiency gains. Months later, however, reports began to trickle out: the company was quietly rehiring humans to plug gaps the AI couldn't fill. Klarna is not alone. From IBM to Duolingo, a number of tech firms are slowly rowing back their sweeping AI staffing strategies. The reason? While AI can do many things, it still can't do everything—and certainly not with the nuance and oversight that modern businesses demand.

When ChatGPT burst into public consciousness in late 2022, it lit a fire under every corner office in Silicon Valley. The prospect of machines performing white-collar work—drafting reports, handling customer queries, even writing code—felt like a revolution in motion. CEOs saw AI as the next great lever for cost-cutting, productivity boosts, and shareholder satisfaction. This vision of AI-driven efficiency sparked a wave of staffing cuts. Klarna's AI assistant was reportedly handling two-thirds of customer service requests. Duolingo began pivoting away from human linguists in favour of LLM-generated content. IBM, for its part, paused hiring for thousands of back-office roles, estimating that AI could eventually replace up to 30 per cent of them.

These weren't fringe experiments; they were central to how the future of work was being envisioned at the highest levels. For all the talk of LLMs and generative models, today's AI systems are still prone to factual inaccuracies, hallucinations, and an almost comical lack of emotional intelligence. Empathy, cultural sensitivity, and contextual judgment—staples of good customer service or HR management—remain out of reach for even the most advanced models. The result? Companies that embraced AI too eagerly have had to contend with frustrated customers and declining service quality. At Klarna, customers reported feeling misunderstood and underserved, especially when dealing with nuanced or sensitive issues. Duolingo's



“Companies that embraced AI too eagerly have had to contend with frustrated customers and declining service quality”

Mithun Mohandas
Managing Editor



Let me know your thoughts on this column at:
@mithun_mohandas |
mithun@digit.in

shift towards AI-generated content raised concerns about accuracy and pedagogical effectiveness, particularly among educators and advanced learners.

In many cases, the expected gains in efficiency were offset by a dip in quality, leading to customer churn or reputational damage. Think of the times that you've been frustrated after ordering from any of the quick commerce apps, only to realise that you've picked the wrong address. You will never get to a human agent easily, and the AI will cancel but issue absolutely zero refunds. It turns out that while AI can generate an answer, it can't always evaluate whether it's the right one—or handle the consequences when it's wrong.

Backtracking is becoming an increasingly visible pattern. Klarna began rehiring customer service agents. IBM quietly reversed some of its hiring freezes, especially in HR and compliance roles. Even in sectors like media and marketing, where AI adoption was initially breathless, companies are reintroducing human editors and reviewers to oversee AI-generated content.

The clearest takeaway for businesses is to avoid binary thinking. The future of work won't be all-human or all-AI—it will be both. That means investing not just in software licenses, but in workforce development. Upskilling employees to work effectively with AI tools, rather than in fear of them, is a more sustainable long-term strategy. Transparency will also be crucial. Employees deserve clarity on how AI will be used, and customers should know when they're speaking to a bot versus a person. Ethical frameworks must evolve alongside AI capabilities to ensure fairness, inclusivity, and accountability. Above all, companies must reframe automation not as a job killer, but as a job shifter.

AI may be impressive, but it's not infallible. The first wave of rehiring after AI-driven layoffs is just the beginning of a longer journey. If there's one lesson to take away, it's this: progress in AI should be accompanied by progress in how we manage change. Thoughtful adoption, human oversight, and a commitment to hybrid thinking will be key. ■